

The benefit of the doubt; Buy with a higher TP

Right ASIC customer, share gain (at TPU), content expansion (from v.8 to v.9) and price hikes (for non-AI)

Reiterate our Buy rating with a higher TP of TWD5,800

MediaTek's share price has entirely reversed its multi-year underperformance from April 2026 (see our 31 March upgrade report, *After 2000 days...*), with the share price up nearly 3x (up 160% vs. TAIEX up 41%) over the past three months — mainly driven by the company's solid messaging about its TPU project (guiding up 2026 contribution to be above USD2bn from USD1bn, and pulling forward its ASIC market share target from 2028E to 2027E, during the company's *April earnings call*) and TSMC's (2330 TT, Buy) growing capacity allocation, we think. We have received questions on whether this bright outlook is priced in following the record-level share price surge, but it looks to us that potential upside remains ample. We raise our 2026-28F earnings forecasts by 9-96% with a higher TP of TWD5,800 (vs TWD3,400 previously) based on an unchanged 25x target P/E applied to our 2027-28F average EPS. The stock now trades at 16.7x average 2027-28F EPS.

Upside in TPU, non-TPU ASICs and even non-AI business

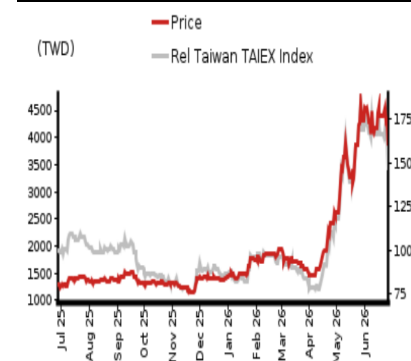
From a top-down point of view, Google's (GOOGL US, NR) AI upside potential remains too large to ignore, given Gemini's proven performance and share gain (*Fig. 1 - Fig. 2*). Accordingly, we expect the chip/hardware supply chain to strongly support TPU into 2027F. As such, we expect MTK to tone up its 2026-27F ASIC sales guidance again during its July earnings call (thanks to TPU v.8t upside). For 2028, the year when its TPU v.9 project ramps (using Intel's EMIB-T packaging), no capacity or volume number has been confirmed (still 18 months away) and Intel's (INTC US, NR) execution on EMIB-T remains to be seen. However, given EMIB-T being the sole-source solution for this project (no CoWoS-version, in our view, despite MTK management claiming it had a dual path during its *April call*), we continue to expect the Street to give this project the benefit of the doubt before its tape-out by end-2026. In the meantime, there are quite a few other ASIC projects with top US hyperscaler/AI companies in discussion. We now assume USD2.5bn/USD14bn/USD36bn in ASIC sales in 2026F/2027F/2028F (from USD2bn/USD10bn/USD18bn). Last but not least, MTK has announced that it would increase chip prices (though scale and timing have not yet been specified; we estimate 5-10% from Sep 2026F) across all of its major product lines. Price hike is common for tech supply chain in this cycle (to pass on rising costs). We note that QCOM, its major competitor, would follow suit and raise prices too — indicating unchanged market share but higher price for MediaTek's non-AI business.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	595,966	648,114	660,019	961,886	1,109,900	1,258,162	1,856,210
Reported net profit (mn)	105,319	100,221	108,834	179,897	245,659	253,681	495,999
Normalised net profit (mn)	105,319	100,221	108,834	179,897	245,659	253,681	495,999
FD normalised EPS	66.16	62.97	68.38	113.00	154.31	159.35	311.57
FD norm. EPS growth (%)	-1.1	-4.8	3.4	79.4	125.6	41.0	101.9
FD normalised P/E (x)	58.6	—	56.7	—	25.1	—	12.5
EV/EBITDA (x)	45.4	—	44.6	—	20.7	—	10.3
Price/book (x)	15.5	—	14.3	—	10.5	—	7.0
Dividend yield (%)	1.4	—	1.4	—	3.2	—	6.4
ROE (%)	26.4	24.2	26.0	37.7	47.7	43.6	66.7
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from TWD 3,400.00	TWD 5,800.00
Closing price 26 June 2026	TWD 3,880.00
Implied upside	+49.5%
Market Cap (USD mn)	195,149.2
ADT (USD mn)	1,406.2

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Semiconductor

Aaron Jeng, CFA - NITB
aaron.jeng@nomura.com
+886(2) 21769962

Vivian Yang - NITB
vivian.yang@nomura.com
+886(2) 21769970

Eric Chen, CFA - NITB
eric.chen@nomura.com
+886(2) 21769965

Key data on MediaTek

Performance

(%)	1M	3M	12M		
Absolute (TWD)	-9.0	144.0	200.8	M cap (USDmn)	195,149.2
Absolute (USD)	-10.2	144.3	173.7	Free float (%)	68.8
Rel to Taiwan	-15.3	105.3	95.1	3-mth ADT (USDmn)	1,406.2
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	530,586	595,966	660,019	1,109,900	1,856,210
Cost of goods sold	-267,200	-312,886	-358,471	-618,144	-1,044,373
Gross profit	263,386	283,080	301,548	491,756	811,837
SG&A	-28,981	-31,304	-34,601	-58,185	-97,309
Employee share expense	-131,993	-148,306	-160,529	-176,093	-183,101
Operating profit	102,412	103,470	106,419	257,478	531,427
EBITDA	123,348	126,444	128,681	275,612	546,196
Depreciation	-12,560	-13,336	-12,423	-10,119	-8,242
Amortisation	-8,376	-9,639	-9,840	-8,015	-6,528
EBIT	102,412	103,470	106,419	257,478	531,427
Net interest expense	10,696	10,167	9,814	10,213	14,187
Associates & JCEs	7,569	5,825	6,857	11,913	20,130
Other income	-1,159	5,426	2,474	4,268	7,106
Earnings before tax	119,519	124,888	125,563	283,873	572,850
Income tax	-12,378	-18,770	-15,817	-36,699	-74,324
Net profit after tax	107,141	106,118	109,746	247,174	498,525
Minority interests	-754	-798	-912	-1,515	-2,526
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	106,387	105,319	108,834	245,659	495,999
Extraordinary items	0				
Reported NPAT	106,387	105,319	108,834	245,659	495,999
Dividends	-86,070	-85,583	-87,068	-196,527	-396,799
Transfer to reserves	20,317	19,736	21,767	49,132	99,200

Valuations and ratios

Reported P/E (x)	58.0	58.6	56.7	25.1	12.5
Normalised P/E (x)	58.0	58.6	56.7	25.1	12.5
FD normalised P/E (x)	58.0	58.6	56.7	25.1	12.5
Dividend yield (%)	1.4	1.4	1.4	3.2	6.4
Price/cashflow (x)	39.5	37.9	104.8	31.9	17.0
Price/book (x)	15.7	15.5	14.3	10.5	7.0
EV/EBITDA (x)	46.1	45.4	44.6	20.7	10.3
EV/EBIT (x)	54.8	54.9	53.4	22.1	10.5
Gross margin (%)	49.6	47.5	45.7	44.3	43.7
EBITDA margin (%)	23.2	21.2	19.5	24.8	29.4
EBIT margin (%)	19.3	17.4	16.1	23.2	28.6
Net margin (%)	20.1	17.7	16.5	22.1	26.7
Effective tax rate (%)	10.4	15.0	12.6	12.9	13.0
Dividend payout (%)	80.9	81.3	80.0	80.0	80.0
ROE (%)	27.8	26.4	26.0	47.7	66.7
ROA (pretax %)	22.8	21.8	20.6	42.1	69.1

Growth (%)

Revenue	22.4	12.3	10.7	68.2	67.2
EBITDA	37.1	2.5	1.8	114.2	98.2
Normalised EPS	38.0	-1.1	3.4	125.6	101.9
Normalised FDEPS	38.0	-1.1	3.4	125.6	101.9

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	123,348	126,444	128,681	275,612	546,196
Change in working capital	14,977	18,102	-58,340	-61,141	-136,634
Other operating cashflow	17,729	18,247	-11,418	-20,927	-45,155
Cashflow from operations	156,055	162,793	58,923	193,544	364,406
Capital expenditure	-13,771	-15,009	-18,296	-18,296	-18,296
Free cashflow	142,284	147,784	40,627	175,248	346,110
Reduction in investments	283	-69	-1,851	0	0
Net acquisitions					
Dec in other LT assets	0	-909	-207	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	-22,440	-21,766	2,212	0	0
CF after investing acts	120,127	125,039	40,781	175,248	346,110
Cash dividends	-87,551	-86,070	-85,583	-87,068	-196,527
Equity issue	0	0	0	0	0
Debt issue	0	0	0	0	0
Convertible debt issue	0	0	0	0	0
Others	5,724	-7,375	17,259	0	0
CF from financial acts	-81,827	-93,445	-68,324	-87,068	-196,527
Net cashflow	38,300	31,594	-27,543	88,181	149,583
Beginning cash	165,396	203,696	235,290	207,747	295,928
Ending cash	203,696	235,290	207,747	295,928	445,511
Ending net debt	-200,074	-227,555	-185,003	-273,183	-422,766

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	203,696	235,290	207,747	295,928	445,511
Marketable securities	15,928	12,419	10,265	10,265	10,265
Accounts receivable	44,713	62,121	91,259	136,156	230,663
Inventories	58,414	67,235	101,344	149,501	256,022
Other current assets	28,274	20,392	18,688	18,688	18,688
Total current assets	351,025	397,456	429,303	610,537	961,149
LT investments	172,525	171,501	183,636	192,743	202,471
Fixed assets	56,917	60,427	68,067	76,244	86,299
Goodwill	0	0	0	0	0
Other intangible assets	82,257	80,262	80,392	72,378	65,850
Other LT assets	35,143	34,138	35,008	35,008	35,008
Total assets	697,868	743,785	796,407	986,911	1,350,777
Short-term debt	940	940	16,440	16,440	16,440
Accounts payable	40,777	48,710	61,806	93,718	158,113
Other current liabilities	225,186	253,700	243,808	243,808	243,808
Total current liabilities	266,902	303,350	322,053	353,966	418,360
Long-term debt	2,681	6,795	6,305	6,305	6,305
Convertible debt	0	0	0	0	0
Other LT liabilities	23,228	24,444	24,217	24,217	24,217
Total liabilities	292,812	334,590	352,575	384,488	448,882
Minority interest	8,428	8,594	8,167	8,167	8,167
Preferred stock	0	0	0	0	0
Common stock	16,017	16,039	16,039	16,039	16,039
Retained earnings	380,610	384,562	419,626	578,217	877,689
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	396,627	400,601	435,665	594,256	893,728
Total equity & liabilities	697,868	743,785	796,407	986,911	1,350,777

Liquidity (x)

Current ratio	1.32	1.31	1.33	1.72	2.30
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (TWD)	66.92	66.16	68.38	154.31	311.57
Norm EPS (TWD)	66.92	66.16	68.38	154.31	311.57
FD norm EPS (TWD)	66.92	66.16	68.38	154.31	311.57
BVPS (TWD)	247.63	249.76	271.63	370.50	557.22
DPS (TWD)	53.66	53.36	54.28	122.53	247.39

Activity (days)

Days receivable	34.6	32.7	42.4	37.4	36.2
Days inventory	69.4	73.3	85.8	74.1	71.1
Days payable	54.3	52.2	56.3	45.9	44.1
Cash cycle	49.7	53.8	72.0	65.5	63.1

Source: Company data, Nomura estimates

Company profile

MediaTek is the largest fabless semiconductor company in Taiwan. The company keeps developing leading-edge solutions for clients around the globe since it was established in 1997. Main product lines include smartphones, IoT, ASIC and connectivity/networking chips.

Valuation Methodology

Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at its high end of historical range. The benchmark index for this stock is TAIEX.

Risks that may impede the achievement of the target price

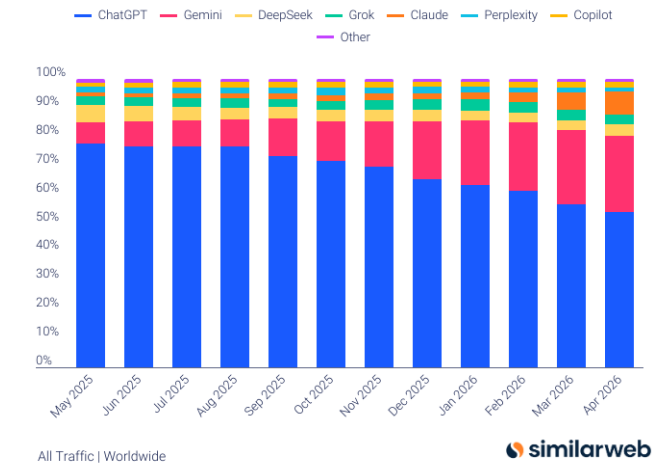
Key downside risks include: 1) fierce price competition from Qualcomm and Spreadtrum; 2) the company's execution (i.e. a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

ESG

MediaTek commenced its ESG engagement with six main aspects such as corporate governance and environmental management. The company also set a code of conduct to build its sustainable supply chain. About 80% of the company's suppliers will sign the code of conduct by 2021. Major aspects include labor/human rights and business ethics.

Fig. 1: Gen AI website traffic share

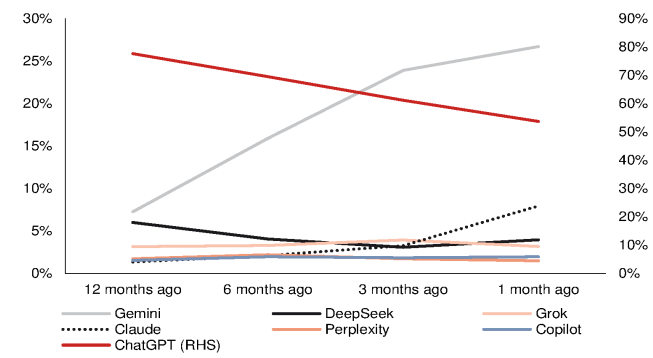
As of Apr 2026



Source: Similarweb

Fig. 2: Gen AI website traffic share

Gemini and Claude continued to grow



Source: Similarweb, Nomura research

Financial analysis and forecasts

Fig. 3: MediaTek – 2026-28F forecast revisions

(TWD mn)	2026F			2027F			2028F		
	Revised	Previous	Diff	Revised	Previous	Change	Revised	Previous	Change
Net sales	660,019	648,114	1.8%	1,109,900	961,886	15.4%	1,856,210	1,258,162	47.5%
Gross profit	301,548	295,624	2.0%	491,756	426,668	15.3%	811,837	555,901	46.0%
OPEX	(195,130)	(196,589)	(0.7%)	(234,278)	(235,247)	(0.4%)	(280,410)	(282,570)	(0.8%)
Operating profit	106,419	99,035	7.5%	257,478	191,420	34.5%	531,427	273,331	94.4%
Net profit	108,834	100,221	8.6%	245,659	179,897	36.6%	495,999	253,681	95.5%
EPS (TWD)	68.38	62.97	8.6%	154.31	113.00	36.6%	311.57	159.35	95.5%
Margin	Revised	Previous	Diff	Revised	Previous	Change	Revised	Previous	Change
Gross margin (%)	45.7	45.6	0.1 pp	44.3	44.4	-0.1 pp	43.7	44.2	-0.4 pp
OPEX ratio (%)	(29.6)	(30.3)	0.8 pp	(21.1)	(24.5)	3.3 pp	(15.1)	(22.5)	7.4 pp
Operating margin (%)	16.1	15.3	0.8 pp	23.2	19.9	3.3 pp	28.6	21.7	6.9 pp
Net margin (%)	16.5	15.5	1.0 pp	22.1	18.7	3.4 pp	26.7	20.2	6.6 pp

Source: Company data, Nomura estimates

Fig. 4: MediaTek – P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	153,312	150,369	142,097	150,188	149,151	152,110	156,067	202,692	263,239	273,787	274,613	298,261	595,966	660,019	1,109,900	1,856,210
Gross profit	73,809	73,878	66,112	69,281	69,055	70,036	71,928	90,529	116,057	121,240	122,017	132,442	283,080	301,548	491,756	811,837
- OPEX	(43,756)	(44,499)	(43,924)	(47,431)	(46,165)	(46,002)	(48,759)	(54,205)	(55,918)	(58,159)	(58,334)	(61,866)	(179,610)	(195,130)	(234,278)	(280,410)
Operating profit	30,053	29,379	22,188	21,850	22,891	24,035	23,169	36,324	60,139	63,081	63,683	70,576	103,470	106,419	257,478	531,427
Pretax profit	34,553	33,228	29,960	27,147	27,019	28,219	28,302	42,022	66,296	69,099	70,541	77,936	124,888	125,563	283,873	572,850
Net profit	29,325	27,848	25,221	22,925	24,154	24,102	24,290	36,289	57,634	59,606	60,972	67,446	105,319	108,834	245,659	495,999
EPS (TWD)	18.43	17.50	15.84	14.40	15.17	15.13	15.25	22.78	36.19	37.42	38.28	42.35	66.16	68.38	154.31	311.57
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Gross margin	48.1%	49.1%	46.5%	46.1%	46.3%	46.0%	46.1%	44.7%	44.1%	44.3%	44.4%	44.4%	47.5%	45.7%	44.3%	43.7%
- OPEX ratio	(28.5%)	(29.6%)	(30.9%)	(31.6%)	(31.0%)	(30.2%)	(31.2%)	(26.7%)	(21.2%)	(21.2%)	(21.2%)	(20.7%)	(30.1%)	(29.6%)	(21.1%)	(15.1%)
Operating margin	19.6%	19.5%	15.6%	14.5%	15.3%	15.8%	14.8%	17.9%	22.8%	23.0%	23.2%	23.7%	17.4%	16.1%	23.2%	28.6%
Pretax margin	22.5%	22.1%	21.1%	18.1%	18.1%	18.6%	18.1%	20.7%	25.2%	25.2%	25.7%	26.1%	21.0%	19.0%	25.6%	30.9%
Net margin	19.1%	18.5%	17.7%	15.3%	16.2%	15.8%	15.6%	17.9%	21.9%	21.8%	22.2%	22.6%	17.7%	16.5%	22.1%	26.7%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	11.1%	(1.9%)	(5.5%)	5.7%	(0.7%)	2.0%	2.6%	29.9%	29.9%	4.0%	0.3%	8.6%				
Gross profit	10.2%	0.1%	(10.5%)	4.8%	(0.3%)	1.4%	2.7%	25.9%	28.2%	4.5%	0.6%	8.5%				
- OPEX	(4.0%)	1.7%	(1.3%)	8.0%	(2.7%)	(0.4%)	6.0%	11.2%	3.2%	4.0%	0.3%	6.1%				
Operating profit	40.4%	(2.2%)	(24.5%)	(1.5%)	4.8%	5.0%	(3.6%)	56.8%	65.6%	4.9%	1.0%	10.8%				
Net profit	23.3%	(5.0%)	(9.4%)	(9.1%)	5.4%	(0.2%)	0.8%	49.4%	58.8%	3.4%	2.3%	10.6%				
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	14.9%	18.1%	7.8%	8.8%	(2.7%)	1.2%	9.8%	35.0%	76.5%	80.0%	76.0%	47.1%	12.3%	10.7%	68.2%	67.2%
Gross profit	5.6%	18.9%	2.7%	3.4%	(6.4%)	(5.2%)	8.8%	30.7%	68.1%	73.1%	69.6%	46.3%	7.5%	6.5%	63.1%	65.1%
- OPEX	16.0%	19.7%	8.5%	4.0%	5.5%	3.4%	11.0%	14.3%	21.1%	26.4%	19.6%	14.1%	11.6%	8.6%	20.1%	19.7%
Operating profit	(6.6%)	17.7%	(7.0%)	2.0%	(23.8%)	(18.2%)	4.4%	66.2%	162.7%	162.5%	174.9%	94.3%	1.0%	2.9%	141.9%	106.4%
Net profit	(7.0%)	8.3%	(0.5%)	(3.6%)	(17.6%)	(13.5%)	(3.7%)	58.3%	138.6%	147.3%	151.0%	85.9%	(1.0%)	3.3%	125.7%	101.9%

Source: Company data, Nomura estimates

Fig. 5: Nomura forecasts vs Bloomberg consensus

(TWD mn)	2026F			2027F			2028F		
	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)
Net sales	660,019	651,105	1.4	1,109,900	1,065,989	4.1	1,856,210	1,798,408	3.2
Gross profit	301,548	298,271	1.1	491,756	472,265	4.1	811,837	764,306	6.2
Operating profit	106,419	104,319	2.0	257,478	221,830	16.1	531,427	429,605	23.7
Net profit	108,834	105,956	2.7	245,659	205,976	19.3	495,999	366,126	35.5
EPS (TWD)	68.38	66.70	2.5	154.31	132.62	16.4	311.57	229.70	35.6
margin	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)
Gross margin (%)	45.7	45.8	(0.1)	44.3	44.3	0.0	43.7	42.5	1.2
Operating margin (%)	16.1	16.0	0.1	23.2	20.8	2.4	28.6	23.9	4.7
Net margin (%)	16.5	16.3	0.2	22.1	19.3	2.8	26.7	20.4	6.4

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Valuation methodology and risks

Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at the high end of its historical range.

Key downside risks include: 1) fierce price competition from Qualcomm (QCOM US, NR) and Spreadtrum (unlisted); 2) the company's execution (i.e., a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

Fig. 6: MediaTek's 5-year consensus P/E



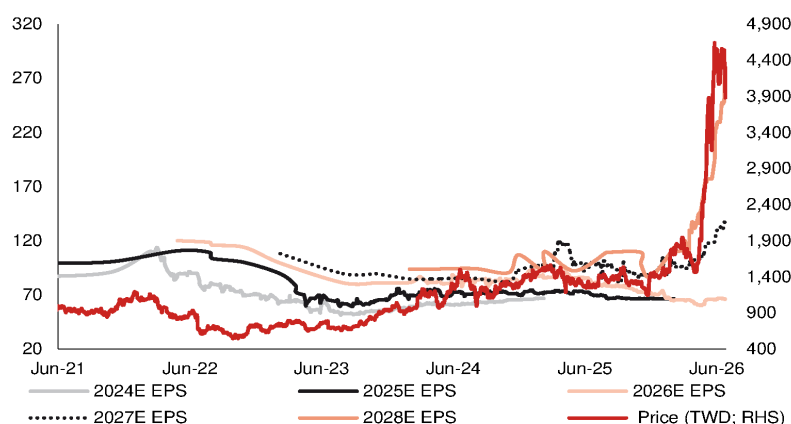
Source: Bloomberg Finance L.P., Nomura research

Fig. 7: MediaTek's 5-year consensus P/B



Source: Bloomberg Finance L.P., Nomura research

Fig. 8: MediaTek's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P., Nomura research

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd., Taipei Branch (NITB), Taiwan.
See [Disclaimers](#) for Nomura Group entity details.

Analyst Certification

We, Aaron Jeng, Vivian Yang and Eric Chen, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

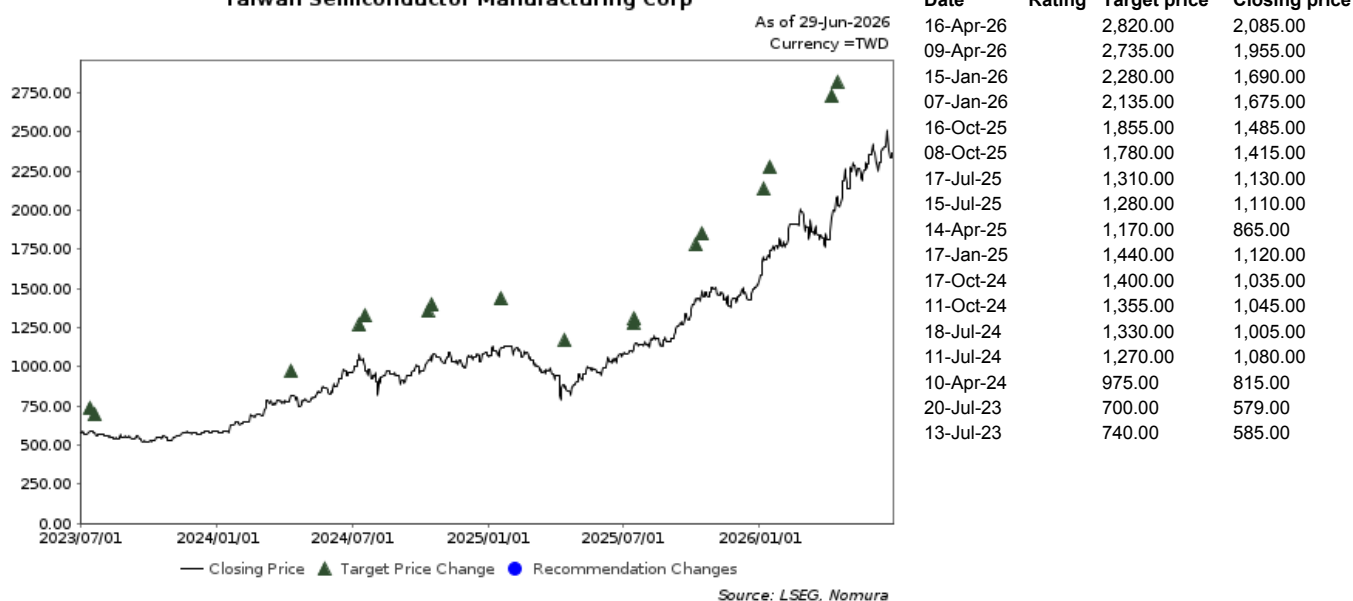
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,340.00	26-Jun-2026	Buy	N/A	
MediaTek	2454 TT	TWD 3,880.00	26-Jun-2026	Buy	N/A	

Taiwan Semiconductor Manufacturing Corp (2330 TT)

TWD 2,340.00 (26-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Taiwan Semiconductor Manufacturing Corp



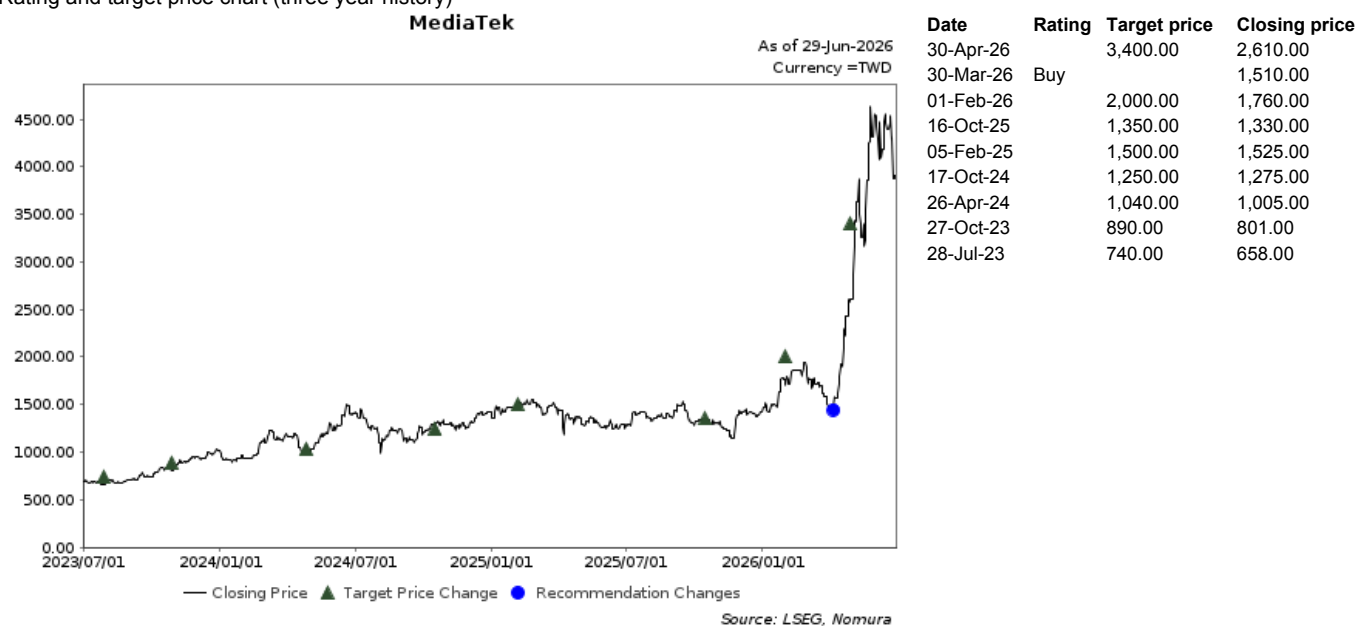
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD2,820 is based on 25x 2026-27F average EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

MediaTek (2454 TT)**TWD 3,880.00 (26-Jun-2026) Buy (Sector rating: N/A)**

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at its high end of historical range. The benchmark index for this stock is TAIEX.

Risks that may impede the achievement of the target price Key downside risks include: 1) fierce price competition from Qualcomm and Spreadtrum; 2) the company's execution (i.e. a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.

Important disclosures may be read at <http://go.nomuranow.com/research/m/Disclosures> or requested from Nomura Securities International, Inc.

If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (Nlplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and Nlplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:

57% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 34% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.

41% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group

2% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 0% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.

As at 31 March 2026.

*The Nomura Group as defined in the Disclaimer section at the end of this report.

** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an

appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at:

<http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('Nlplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at <http://dis.kofia.or.kr>), (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: [LINK](#)

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFR') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd. ('NOI'), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd. and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFR") and FTSE Russell ("Russell"). NFR and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for

illustrative purposes within this document is not intended for “use” as a “benchmark” as defined by the European Benchmark Regulation. Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. ‘Stop loss’ levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the ‘1933 Act’), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by Nlplc. Nlplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Nlplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are ‘eligible counterparties’ or ‘professional clients’ for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are ‘retail clients’ for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH (“NFPE”). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NHHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NHHK. This document is intended only for investors who are ‘professional investors’ for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not ‘professional investors’ for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT. Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia (‘Saudi Arabia’) or a ‘Market Counterparty’ or a ‘Professional Client’ (as defined by the Dubai Financial Services Authority) in the United Arab Emirates (‘UAE’) or a ‘Market Counterparty’ or a ‘Business Customer’ (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar (‘Qatar’) by Nomura Saudi Arabia, Nlplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ located in Saudi Arabia or a ‘Market Counterparty’ or a ‘Professional Client’ in the UAE or a ‘Market Counterparty’ or a ‘Business Customer’ in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public

offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard. NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:

<http://go.nomuranow.com/research/m/Disclosures>

Copyright © 2026 Nomura International (Hong Kong) Ltd., Taipei Branch, Taiwan. All rights reserved.